



VRC-UK-2022-0267

15/03/2022

MASTER SUPPLY AGREEMENT

Between Veracier UK and ElectroPulse Ltd

THIS AGREEMENT (the "Agreement") is made and entered into as of 15/03/2022

BETWEEN:

Veracier UK Ltd, a company incorporated under the laws of United Kingdom, with its registered office at Innovation Park, Filton, Bristol BS34 7QN, United Kingdom ("Customer")

AND

ElectroPulse Ltd ("Supplier")

(each a "Party" and together the "Parties")

Section 1 — Scope of Agreement

This Agreement sets forth the terms and conditions under which ElectroPulse Ltd ("Supplier") shall supply to Veracier UK Ltd ("Customer") the products and services described in Schedule 1 (the "Products"), in accordance with the technical specifications provided by Customer.

Section 2 — Term

This Agreement shall commence on the Effective Date and shall continue for an initial period of three (3) years, automatically renewing for successive one (1) year periods unless either Party gives written notice of non-renewal at least six (6) months prior to the end of the then-current term.

Section 3 — Pricing and Payment

The unit prices for the Products are set forth in Schedule 2. All prices are exclusive of applicable taxes and are quoted EXW (Incoterms 2020) Supplier's facility. Payment shall be made by wire transfer within sixty (60) days from the end of the month in which a conforming invoice is received.

Section 4 — Delivery and Acceptance

Supplier shall deliver the Products within the lead times specified in each Purchase Order. Late deliveries exceeding five (5) business days shall be subject to liquidated damages of 0.5% of the relevant Purchase Order value per week of delay, capped at 10% of the total Purchase Order value.

Section 5 — Quality and Compliance

Supplier warrants that all Products shall conform to the technical specifications and shall be free from defects in design, materials, and workmanship. Supplier shall maintain ISO 9001 certification (and AS9100 where applicable) throughout the Term.

Section 6 — Intellectual Property

Each Party retains all rights in its pre-existing intellectual property. Any bespoke developments created by Supplier under this Agreement and funded by Customer shall be the exclusive property of Customer.

Section 7 — Confidentiality

Each Party agrees to treat as confidential all technical, commercial, and financial information disclosed by the other Party under this Agreement. This obligation shall survive for five (5) years following termination.

Section 8 — Liability

Supplier's aggregate liability under this Agreement shall not exceed two (2) times the annual value of Purchase Orders placed by Customer during the preceding twelve (12) months. This limitation shall not apply in cases of gross negligence, wilful misconduct, death or personal injury, or breach of confidentiality obligations.

Section 9 — Termination

Either Party may terminate this Agreement for material breach by giving thirty (30) days' written notice, provided the breach remains uncured at the end of such notice period. Customer may terminate immediately upon written notice in the event of Supplier's insolvency, bankruptcy, or assignment for the benefit of creditors.

Section 10 — Force Majeure

Neither Party shall be liable for any failure or delay in performing its obligations under this Agreement where such failure or delay results from Force Majeure.

"Force Majeure" means acts of God, natural disasters (earthquakes, floods, hurricanes), fire, and acts of war or armed conflict. For the avoidance of doubt, supply chain disruptions, price increases, and component shortages shall not constitute Force Majeure events.

Section 12 — Governing Law

This Agreement shall be governed by and construed in accordance with the laws of England and Wales. Any dispute shall be submitted to the exclusive jurisdiction of the courts of England and Wales.

Environmental conditions during functional testing were within specification: temperature 23 +/- 2 degrees C, relative humidity 45 +/- 10%, hydraulic fluid cleanliness class 6 per NAS 1638.

In the event of late delivery, the Customer shall be entitled to liquidated damages of 0.5% of the relevant Purchase Order value per week of delay, capped at 10% of the total Purchase Order value.

This Agreement may not be assigned, in whole or in part, by either Party without the prior written consent of the other Party. Any unauthorized assignment shall be void and of no effect.

A review of cross-indemnity provisions among Group entities has been initiated to determine which entity bears the ultimate financial burden of the litigation.

Effectiveness verification of the corrective actions will be performed over the next three production lots. The CAPA will be closed after confirming no recurrence over a minimum of 150 parts.

The Legal Department has identified a contagion risk, as the facts underlying the claim may be replicated at other production sites within the Group.

The Legal Department recommends appointment of a mediator accredited by the Centre for Effective Dispute Resolution (CEDR) to attempt settlement before the commencement of substantive proceedings.



The Group's net cash position stands at EUR 127 million as at 31 December, an increase of EUR 23 million compared to the prior year, primarily driven by working capital improvements.

The Supplier shall maintain a traceability system enabling identification of raw materials, manufacturing operations, and quality inspections for each delivered Product. Records shall be retained for a minimum of ten (10) years.

Any dispute arising out of or in connection with this Agreement shall first be subject to good faith negotiations for a period of thirty (30) days. If unresolved, either Party may refer the dispute to the competent courts as specified herein.

The matter has been entered in the Group's legal risk register under reference LR-2024-XXX. Oversight has been assigned to the General Counsel.

The statutory auditors have raised an observation regarding the nuclear decommissioning provision, recommending that the actuarial assumptions be reviewed by an independent actuary.

Part marking includes: lot number, part number, serial number, date of manufacture, and inspector stamp. Marking is performed by micro-percussion per customer specification.

The matter will be monitored by the Legal Department in coordination with external counsel. A progress update will be presented to the Audit Committee at its next quarterly meeting.

Trend analysis of supplier non-conformities over the past 24 months shows a significant increase in dimensional deviations (+35%) from the supplier, requiring enhanced surveillance.

The manufacturing routing comprises 9 principal operations from material cutting (Op 10) to final inspection and release (Op 90). Each operation requires operator sign-off and quality verification.

Pursuant to the Group's disclosure obligations, this matter must be reflected in the notes to the consolidated financial statements as a contingent liability, without specifying the provision amount to avoid prejudicing the Group's position.

The Audit Committee has reviewed the principal accounting estimates and management judgements and concluded that the methods applied were appropriate and consistent with prior periods.

The failure of either Party to enforce any provision of this Agreement shall not constitute a waiver of such provision or of the right to enforce it at any time thereafter.

The Supplier shall procure and maintain throughout the Term professional liability insurance with a minimum cover of five million euros (EUR 5,000,000) per occurrence and in the aggregate per year, and shall provide evidence thereof upon request.

Dimensional inspections were performed on a Metrologix M-G2 coordinate measuring machine (CMM), calibrated and certified in accordance with ISO 10360-2. The expanded measurement uncertainty ($k=2$) is ± 0.003 mm.

Statistical process control (SPC) monitoring is in place for critical dimensions identified in control plan CP-AV3000-Rev.F. Process capability indices C_{pk} exceed 1.67 for all key characteristics.

The fatigue test was conducted per ASTM E466 at ambient temperature (23 ± 2 degrees C), with a stress ratio $R = 0.1$ and a cyclic frequency of 10 Hz. The specimen endured 10^7 cycles without visible crack initiation.

In the event of regulatory changes materially affecting the terms of this Agreement, the Parties shall negotiate in good faith to amend the Agreement within a reasonable timeframe.

The Country-by-Country Report has been prepared in accordance with OECD BEPS Action 13 guidelines and filed with the relevant tax authority within the statutory deadline.

The risk of an adverse costs order has been factored into the provision estimate, with additional exposure estimated at between GBP 50,000 and GBP 150,000.



All notices under this Agreement shall be in writing and delivered by registered mail, internationally recognized courier service, or email with read receipt confirmation, to the addresses set forth in the preamble.

The German entity's taxable income has been adjusted for permanent differences between IFRS and German tax rules (HGB), particularly regarding depreciation methods and provisions.

Calibration of the hydraulic test bench TB-042 was verified prior to testing. Calibration certificate No. CC-2024-042-012, issued by a UKAS-accredited laboratory, is included in the batch record.

The capital expenditure budget for the current year is EUR 18.5 million, of which EUR 12.3M is allocated to production capacity and EUR 6.2M to R&D activities.

Bristol, le 15/03/2022
Managing Director

James Hartley